NOTE 6 - INCOME TAXES

The provision for income taxes consists of the following as of December 31:

	2010	2009	2008
Federal - current	$ 14,970	$ 13,208	$ 7,304
State and local - current	2,938	2,570	1,316
Deferred	2,770	724	1,965
	$ 20,678	$ 16,502	$ 10,585

A reconciliation of the statutory to the effective rate of the Company is as follows as of December 31:

	2010	2009	2008
Tax provision using statutory rate	35.0%	35.0%	35.0%
State and local taxes, net of Federal benefit	4.3%	7.3%	4.0%
Valuation allowance	0.3%	-4.2%	0.0%
Other, net	0.6%	2.1%	0.4%
Tax provision for continuing operations	40.2%	40.2%	39.4%

The Company has provided a valuation allowance against certain net deferred tax assets based upon management's estimation of realizability of those assets through future taxable income. This valuation allowance was based in large part on the Company's history of generating operating income or losses in individual tax locales and expectations for the future. The Company's ability to generate the expected amounts of taxable income from future operations to realize its recorded net deferred tax assets is dependent upon general economic conditions, competitive pressures on revenues and margins and legislation and regulation at all levels of government. There can be no assurances that the Company will meet its expectations of future taxable income. Further, the Company has book g oodwill of $41.3 million which is not deductible for tax purposes. The remaining deductible goodwill provides an annual tax deduction approximating $5.0 million through 2021. However, management has considered the above factors in reaching its conclusion that it is more likely than not that future taxable income will be sufficient to realize the deferred tax assets (net of valuation allowance) as of December 31, 2010.

The principal tax carry-forwards and temporary differences were as follows as of December 31:

	2010	2009
Deferred tax assets		
Non-deductible reserves and allowances	$ 6,647	$ 5,861
Insurance accruals	2,113	2,107
Net operating loss carryforwards	1,812	2,741
	10,572	10,709
Valuation allowance	(1,113)	(942)
Deferred tax assets	9,459	9,767
Deferred tax liabilities		
Intangibles	(8,707)	(6,469)
Accelerated depreciation	(994)	(770)
Deferred tax liabilities	(9,701)	(7,239)
Net deferred tax (liabilities) assets	$ (242)	$ 2,528
Deferred tax (liabilities) assets are reflected in the accompanying balance sheet as:		
Current assets	8,521	7,786
Long-term liabilities	(8,763)	(5,258)
Net deferred tax (liabilities) assets	$ (242)	$ 2,528

The Company has approximately $1.5 million of federal net operating losses to carry forward related to the 2008 acquisition of Patient Care, Inc. and its subsidiaries. These net operating loss carry-forwards, if not used to offset future taxable income, will expire in 2026.

During 2010, the valuation allowance increased by $0.2 million, of which $319 was an increase due to a change in expected realizability of deferred tax assets for states operating loss carry-forwards. The additional change was primarily generated by the utilization and expiration of state net operating loss carry-forwards upon which a valuation allowance had been previously placed on the related deferred tax assets.

State operating loss carry-forwards totaling $24.2 million at December 31, 2010 are being carried forward in jurisdictions where we are permitted to use tax losses from prior periods to reduce future taxable income. If not used to offset future taxable income, these losses will expire between 2011 and 2030. Due to uncertainty regarding our ability to use some of the carry-forwards, a valuation allowance has been established on $21.0 million of state net operating loss carry-forwards. Based on our historical record of producing taxable income and expectations for the future, we have concluded that future operating income will be sufficient to give rise to taxable income sufficient to utilize the remaining state net operating loss carry-forwards.

Based on the Company’s evaluation, it has concluded that there are no significant uncertain tax positions requiring recognition in its financial statements. The evaluation was performed for the tax years ended December 31, 2005, through 2010. For federal tax purposes, the Company is currently subject to examinations for tax years after 2006, while for state purposes, tax years after 2004 are subject to examination, depending on the specific state rules and regulations. The Internal Revenue Service has completed its examination of the tax year ended December 31, 2006.

The Company may from time to time be assessed interest and penalties by major tax jurisdictions, although any such assessments historically have been minimal and immaterial to its financial results. Assessments for interest and/or penalties are classified in the financial statements as General & Administrative - Other.